

investing. The key to successful investing is keeping your emotions under control. This is easier said than done. Chapters 4 to 8 helps you to understand this psychology of Investing. Chapter 4 is an introduction to behavioural finance—how our emotions drive our decision-making, and how those decisions may not be in our best financial interest. We understand why even smart and intelligent people make big money mistakes.

Chapter 5 explains our reactions when confronted with fear, and our behavioural anomalies of Loss Aversion and Sunk Cost Fallacy arising out of our fear of making losses. A plan of action to overcome these anomalies concludes the chapter. Chapter 6 shows how our greed leads us to behavioural anomalies of maintaining the status quo by getting into the Decision Paralysis mode and the Endowment Effect, that is attachment to our possessions. Once you are aware as to why you behave in such particular ways there is a plan of action that can help you to overcome these faults.

Chapter 7 explains the human tendency to treat the same amount of money differently depending on how it has been acquired, the effort taken to acquire the same and when it is acquired. This is in spite of the fact that money is fungible. People have different types of mental accounts and this is reflected in their investing and spending decisions. Understanding mental accounting and following the solutions at the end will help your investing and spending decisions.

Chapter 8 explains mental heuristics. These are the short cuts the brain takes to process information. It does not process the full information. This leads to decision biases. We human beings sometimes follow the rule of the thumb without understanding its implications. We do so because of a habit or a custom or just because everyone is doing it. There is no rationality in these actions. There are different types of biases and an understanding of these will help you understand your own irrationality and that of others. It will also help you better understand stock markets and you will be able to live with its volatility. Chapter 9 is on mutual funds. That open-ended mutual funds are the best form of investments for the retail investor is a myth. It is a mental heuristic. It is an idea, which is past its time. New environment calls for